As Parekh observed in his reminiscences, much of the licensing was based on uneconomic capacity and a wrong sense of regional balance. As a result, bunching of licenses in the same industry became the order of the day with disastrous consequences for many new entrepreneurs. Teachers, professionals, and architects—all became entrepreneurs and obtained licenses, many with the intention of simply selling them. All that was needed were the right contacts in New Delhi. Still, this did result in a broadening of the base of entrepreneurship which was a distinct gain to the country. Between 1955 and 1970, new enterprises sprang up, both in traditional and non-traditional industries.[16]

Parekh observed that the ultimate test for ICICI was whether the entrepreneur was capable of completing and running the project well. ICICI was often faced with a dilemma when the project was good but the promoter was questionable. It was not always easy to separate one from the other, but between the two, there was little doubt that the credentials of the entrepreneur mattered more. A great deal of effort was directed by ICICI to reconcile the two and often it succeeded.[17] But one conclusion drawn from ICICI's experience was that the distinction between old and new entrepreneurs was not always valid. Though business experience did help, an established entrepreneur could also make serious mistakes resulting in heavy losses and a long wait before profitability was established. But Parekh was very clear that one of the major objectives of a development bank was to foster the spirit of entrepreneurship. 'It is only with a widening and strengthening of the base of the people with the capacity for risk-taking can economic development be institutionalized. Entrepreneurship is basic to development.'[18]

ICICI created new capacities for consumption, durable, and capital goods. It also created new capacities for industrial materials such as, steel, cement, paper, and basic chemicals. It assisted in substantial expansion in the capacity and production of consumer products, such as paper, sugar, cement; it helped set up capacity in non-traditional items such as fertilizers, petrochemicals, intermediate goods such as, dyes, chemicals, castings, a vast range of capital goods and ancillary industries, apart from modernization of established industries such as textiles. For example, capacity for paper production went up from about 0.2 million tonnes in 1955 to about 1.4 million tonnes in 1979, sugar production from about 1.7